

Numbers 25, 26 (salary), and 28 (bonus). The motion is granted as to Number 27 (billable hour requirement).

As to Request for Production of Documents Number 37, ordinarily, where a request is overbroad, the responding party still must produce as much of the material as is discoverable. In this instance, however, the request for the entire personnel file is so clearly overbroad that plaintiff was substantially justified in objecting to the entire request. Moreover, the District's position in this motion is that "Plaintiff's entire personnel file is highly relevant." It does not propose any narrowing. Given its breadth, the request would require production of large amounts of irrelevant and private information. The motion is denied as to Request for Production of Documents Number 37.

Sanctions:

Each side seeks sanctions against the other. Plaintiffs assert that the District failed to adequately meet and confer, that most of the issues were resolved by negotiation, and that the motion was unnecessary.

The District contends that Plaintiffs only supplemented their responses after the motion was filed. Rule of Court 3.1348(a) specifically addresses this situation, providing: "The court may award sanctions under the Discovery Act in favor of a party who files a motion to compel discovery, even though no opposition to the motion was filed, or opposition to the motion was withdrawn, or the requested discovery was provided to the moving party after the motion was filed." Failure to oppose or filing of a supplemental response "shall not be deemed an admission that the motion was proper or that sanctions should be awarded." (CRC 3.1348(b).)

Under the circumstances, starting with the requests and including the meet and confer process and the motion, the Court concludes that each side's position was substantially justified, and denies both requests for sanctions.

7. 9:00 AM CASE NUMBER: C23-02401

CASE NAME: KIARA ROSS VS. KOTLIER ERNEST M.

***HEARING ON MOTION IN RE: CONSOLIDATE RELATED CASES**

FILED BY: SEQUOIA EQUITIES, INCORPORATED

TENTATIVE RULING:

Before the Court is a motion to consolidate related cases per Cal. Rules of Court, Rule 3.350(a)(1)(C) filed by defendants Sequoia Equities, Inc. and Alder Creek Management, Inc. For the reasons set forth, the motion is **denied, without prejudice**.

Background

This class action lawsuit was filed by Kiara Ross, Felicia Costa, and Mark Piepowski, on behalf of themselves and a putative class of tenants ("Class Plaintiffs"), against defendants Sequoia Equities, Inc. and Alder Creek Management, Inc. ("Sequoia/Alder Defendants"), along with approximately 67 single purpose entity-apartment building owners. (Original Class Compl. ¶¶ 13, 15.) The entity-

apartment owners were dismissed without prejudice pursuant to the Stipulation re Dismissal of Defendants; Tolling Agreement; Good Cause Declaration and Order filed December 10, 2024 in this case, leaving the Sequoia/Alder Defendants as the sole defendants.

The operative class action first amended complaint ("FACC") alleges four causes of action for unlawful retention of residential security deposits in violation of Civil Code section 1950.5, violation of the Unfair Competition Law, Business & Professions Code section 17200 *et seq.* ("UCL"), negligence, and defamation based on allegedly false statements made about the tenants. The FACC names approximately 67 defendants, some with Sequoia Equities-related names that share a business address with Sequoia Equities and others that appear to be unaffiliated apartment building owner entities whose apartment properties are managed by Sequoia and Alder. (FACC ¶¶ 17 [listing 37 alleged Sequoia-owned properties] and 23 [listing 30 third party owned apartment building owners].) The FACC alleges that Sequoia has management contracts with the third party owners pursuant to which it has the exclusive right to manage the properties and is bound to indemnity and hold the third party owners harmless in connection with "the negligent handling of the disposition of security deposits, including attorneys' fees and costs." (FACC ¶¶ 20-22.)

In December 2024, the parties in the Class Action agreed to dismiss the third party apartment owners from the Class Action with a tolling agreement. (12/10.2024 Stip. and Order.) The third party owners, including the Landlord Plaintiffs as defined below, have not appeared in defense of the Class Action, other than through the Stipulation for their dismissal.

Subsequent to the commencement of the Class Action, Fuller Properties, LLC and 21 other entities ("Landlord Plaintiffs") filed suit against the Sequoia/Alder Defendants, initiating the related action C24-01538 ("Landlord Action"). The now operative second amended complaint ("2AC") in the Landlord Action alleges seven causes of action against the Sequoia/Alder Defendants, including breach of fiduciary duty, fraud and intentional misrepresentation, breach of contract, negligent interference with prospective business advantage, broker's constructive fraud, declaratory relief, and accounting. The claims as alleged arise out of the Sequoia/Alder Defendants' obligations to the Plaintiffs under written management contracts for leasing and property management of the apartment buildings owned by the Landlord Plaintiffs and their alleged breaches of duties as agents for Plaintiffs as the property owners. Plaintiffs allege the Sequoia/Alder Defendants mismanaged the Landlord Plaintiffs' apartment buildings, failed to account for rental and other proceeds from the properties, and made misrepresentations to Plaintiffs in managing their properties, among other claims. (2AC ¶¶ 43-52.) They allege that one of the breaches or defalcations by the Sequoia/Alder Defendants was the mishandling of tenant security deposits which resulted in the Class Action lawsuit being filed against the Plaintiffs. (2AC ¶ 50.)

Sequoia and Alder have filed a cross-complaint in the Class Action. The Sequoia/Alder cross-complaint names Fuller Properties, LLC and the other Landlord Plaintiffs as well as Doug Smith as cross-defendants (the "Class Action Cross-Defendants"). In the Sequoia/Alder cross-complaint, Sequoia and Alder allege that cross-defendant Smith controls all the entity Class Action Cross-Defendants and is the alter ego of those entities. The Sequoia/Alder cross-complaint alleges causes of action for breach of contract, based on express contractual indemnity and duty to defend, "declaratory relief-contract." equitable indemnity, contribution, and "declaratory relief – tort."

Legal Standards Applicable to Motion for Consolidation

Code of Civil Procedure section 1048 provides, "When actions involving a common question or law or fact are pending before the court, it may order a joint hearing or trial of any or all of the matters in issue in the actions; it may order all the actions consolidated and it may make such orders concerning proceedings therein as may tend to avoid unnecessary costs or delay." (Code Civ. Proc. § 1048(a).) The decision whether to consolidate actions is left to the sound discretion of the trial court based on its assessment of various factors, including whether there are common issues of fact or law, and even if there are, whether other factors, such as potential prejudice to one or more parties, delay, confusion or other considerations do not warrant consolidation. (*Todd- Stenberg v. Dalkon Shield Claimants Trust* (1996) 48 Cal.App.4th 976, 978-979 ["Code of Civil Procedure section 1048 grants discretion to the trial courts to consolidate actions involving common questions of law or fact. The trial court's decision will not be disturbed on appeal absent a clear showing of abuse of discretion."].)

The Court in *Askew v. Askew* (1994) 22 Cal.App.4th 942 explained: "A motion to consolidate under section 1048 of the Code of Civil Procedure is predicated on the assumption that two or more actions already 'involv[e] a common question of law or fact.' The motion requests the court to exercise its *discretion* to consolidate the actions (the court '*may* order a joint hearing or trial of any or all the matters in issue in the actions,' italics added). Therefore it is possible that actions may be thoroughly 'related' in the sense of having common questions of law or fact, and still not be 'consolidated,' if the trial court, in the sound exercise of its discretion, chooses not to do so." (*Id.* at 964 [italics in original].)

Landlord Plaintiffs' Request for Judicial Notice

The Landlord Plaintiffs ask the Court to take judicial notice of the civil case cover sheets filed with the complaint in the Landlord Action and filed with the Class Action complaint, as well as the Stipulation re Dismissal of Defendants; Tolling Agreement; Good Cause Declaration and Order filed December 10, 2024 in this Class Action. (Landlord RJN ¶¶ 1-3.) The Court grants the unopposed request, subject to the limitations on judicial notice. (Evid. Code § 452(d); *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice of pleadings extends to the fact of the filings but not the truth or interpretation of the content of the filings to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113-115 [same].)

Analysis

The issue of whether there are common questions of "law and fact" that warrant consolidation of the Class Action with the Landlord Action necessarily must consider the identities of the parties to the actions and the claims that are asserted. If a party is not a party to an action or claim, that fact is relevant to assessing the extent to which there are common issues of fact or law. If a claim is founded on contract and requires interpretation or resolution of rights, powers, duties, or liability under the contract, the identity of the parties to the contract is an issue clearly relevant to whether there are common questions of fact or law.

A. Parties to the Actions

The Court's analysis of consolidation considers the putative class and subclasses alleged in the FACC. The classes as described are relevant to assessment of the claims in the Class Action and the propriety of consolidation with the Landlord Action. The Class Plaintiffs define the proposed class and

subclasses as follows: "Unsubstantiated-Charges Class: All former residents of Defendants' California properties whose leaseholds terminated between September 25, 2019 to present, and who had at least \$125 of their security deposit retained for cleaning, repairs and/or replacements combined (the 'Plaintiff Class'). [¶] Untimely Security Deposit Class: All former residents of Defendants' California properties whose leaseholds terminated between September 25, 2019 to present, who had any portion of their security deposit withheld by Defendants for more than 21 days after they vacated their premises at Defendants' property (the 'Plaintiff Subclass No. 1'). [¶] Defamation Class: All former residents of Defendants' California properties whose leaseholds terminated between September 25, 2019 to present, who had a balance due after exhaustion of their security deposit and were reported by Defendants to collections after move-out (the 'Plaintiff Subclass No. 2')." (FACC ¶ 77.)

The Class Action thus may encompass a large number of plaintiffs, many of whom reside at properties owned by the Sequoia-related entity defendants, not the Landlord Plaintiffs. None of the Class Plaintiffs or members of the putative class and subclasses are parties to the Landlord Action. The Class Plaintiffs' claims against 37 of the defendants in the Class Action have nothing to do with the Landlord Plaintiffs; they involve different properties in which the Landlord Plaintiffs have no interest and different management contracts to which the Landlord Plaintiffs are not parties. Indeed, while moving parties argue that the Landlord Plaintiffs own one-third of the properties subject to the tenant claims in the Class Action, that means that the Landlord Plaintiffs have no interest, relationship or involvement in two-thirds of the properties subject to the Class Action.

The Landlord Plaintiffs have been dismissed without prejudice from the Class Action. They are not presently parties to the Class Action claims in the FACC. Sequoia and Alder have made the Landlord Plaintiffs parties to the Sequoia and Alder cross-complaint, which through filed in the Class Action case is nevertheless a separate, independent action. (*See, e.g., Westamerica Bank v. MBG Industries, Inc.* (2007) 158 Cal. App. 4th 109, 134 [" "Where there are both a complaint and a cross-complaint there are actually two separate actions pending and the issues joined on the cross-complaint are completely severable from the issues under the original complaint and answer. [Citations.]' [Citation omitted.]"]; *Security Pacific National Bank v. Adamo* (1983) 142 Cal. App. 3d 492, 496 ["A complaint and a cross-complaint are, for most purposes, treated as independent actions. [Citation omitted.] 'Procedurally, a cross-complaint is a separate pleading and represents a separate cause of action from that which may be stated in the complaint.' [Citation omitted.]".])

Sequoia and Alder argue the differences in the parties to the Class Action and Landlord Action are "irrelevant." (Sequoia/Alder Reply p. 5, l. 12.) The Court disagrees that the differences are irrelevant. The fact that the Class Action involves classes of claimants as Plaintiffs and 37 defendants who are not parties to the Landlord Action is clearly relevant to whether consolidation of the two actions is appropriate, or whether consolidation would result in prejudice, delay, confusion, or increased expense rather than avoiding or reducing expense.

In *Todd-Stenberg, supra*, the Court of Appeal found no abuse of discretion by the trial court consolidating three separate actions by individual plaintiffs for personal injuries they allege they suffered using the Dalkon Shield. In affirming the trial court's proper exercise of its discretion to consolidate the actions, the Court explained, "The trial court correctly anticipated that a large portion of the trial would be devoted to issues common to the three cases: how PID [pelvic inflammatory disease] occurs, whether it can be caused by the use of Dalkon Shield, and what other factors might

cause or contribute to the disease. In short, a large part of the trial was devoted to educating the jury about the female reproductive system, the Dalkon Shield and PID." (*Todd-Stenberg, supra*, 48 Cal.App.4th at 979.) While there may have been some idiosyncratic facts relevant to each plaintiff's claims, the essential basis for liability – product liability for a dangerous device that caused a particular disease in each plaintiff – were present in each action that was consolidated.

B. Claims Alleged In the Actions

Paragraph 40 of the Sequoia/Alder cross-complaint summarizes the claims made by the Class Plaintiffs in the Class Action as "related to violations of the Landlord Tenant and Security Deposit Laws, including but not limited to: [¶] Improper use of security deposits by using them for charges other than rent, repairs (exclusive of ordinary wear and tear), cleaning to bring the apartment back to its pre-lease state, or the remedy of future defaults. (1950.5(b)) [¶] The amounts charged were not reasonably necessary, but charging a standardized fee (1950.5(e)) [¶] Sending an itemized statement of the disposition of the security deposit and any remaining amount to the tenant within 21 days of the tenant vacating (1950.5(g)(1)) [¶] Not including copies of documents substantiating any charges, including bills, invoices or receipts, and where the work is carried out by the landlord an itemized statement of the time spent and hourly rate. (1950.5(g)(2)(A) and (B))."

In this case, unlike *Todd-Stenberg*, the claims in the Class Action are at most a narrow part of the issues involved in the Landlord Action. The Landlord Plaintiffs' 2AC addresses the rights, duties, obligations, and liabilities of the parties to the management agreements to one another in relation to the management of the properties owned by the Landlord Plaintiffs/Class Action Cross-Defendants. Those rights and duties are based on written contracts to which the tenants are not parties and on broader fiduciary duties arising in the relationship between principal and agent or real estate broker and principal, which are not the legal relationships involved in the tenants' claims against Sequoia and Alder. The Sequoia/Alder cross-complaint, which brings in the Landlord Plaintiffs as cross-defendants, similarly addresses Sequoia and Alder's indemnity rights based on their contracts with the Landlord Plaintiffs and under equitable principles unrelated to the basis for the claims made by the Class Plaintiffs for violation of their rights as tenants.

The scope of the Landlord Plaintiffs' claims are not limited to mishandling of tenant security deposits or failure to properly support charges imposed on the tenants for repairs or other expenses, which are the scope of the claims by the tenants in the FACC. The Landlord Plaintiffs in their 2AC allege Sequoia and Alder committed many other types of acts and omissions that violated their duties to the Landlord Plaintiffs. Among other things, the Landlord Plaintiffs allege Sequoia and Alder failed to properly staff management of the properties, failed to properly train or supervise the personnel managing the properties, failed to maintain expense receipts, misused rental proceeds from the properties for the Defendants' corporate expenses, allowed tenants to occupy units at the properties without written rental agreements or security deposits, failed to properly screen tenants, failed to timely respond to tenant complaints, failed to pay bills timely resulting in late charges, and failed to timely evict nonpaying tenants. (2AC ¶¶ 51, 55, 63, 73-75, 86.)

Moving parties argue that the fact the legal basis for the claims by the tenants against Class Action defendants is different from the legal basis for the claims in the Landlord Action and the Sequoia/Alder cross-complaint is also irrelevant to whether the actions should be consolidated. They

argue that the common question of law as to whether Sequoia and Alder violated the Civil Code statute governing the treatment of tenant security deposits is present in both the Class Action and the Landlord Action. The tenants have statutory rights, and they also signed rental or lease agreements that may govern their rights and their ability to recover in the Class Action. That question of law as to whether the tenants' statutory rights as tenants were violated is the primary legal issue in the Class Action. That question at most is one of perhaps 10 or more breaches of contractual and legal duties alleged by the Landlord Plaintiffs in the Landlord Action, based on the operative pleadings.

Further, while the determination of the Class Plaintiffs' claims for statutory violations as to the security deposits and improper charges, if proven, may give the Class Plaintiffs a right to recover against the Class Action defendants, including the Landlord Plaintiffs if they later become parties to the Class Action, the determination would not necessarily resolve whether the Landlord Plaintiffs can recover against Sequoia and Alder for any Class Action liability the Landlord Plaintiffs may have to the tenants. The Landlord Plaintiffs' recovery against Sequoia and Alder is dependent upon the interpretation of the management contracts with the Landlord Plaintiffs, the duties of Sequoia and Alder as agents, and/or the resolution of Sequoia's and Alder's contentions in their Class Action cross-complaint in which they assert essentially that they were acting at the direction of the Landlord Plaintiffs and Doug Smith. The liability the Landlord Plaintiffs may have in the Class Action again is only one of many components of the Landlord Plaintiffs' factual and legal claims against Sequoia and Alder alleged in the Landlord Action.

C. Prejudice, Confusion, Delay, and Increased Expense and Discovery Issues

Consolidation of the actions is also likely to cause confusion and prejudice potentially to the detriment of all parties and result in unwieldy and more expensive pre-trial discovery and pre-trial motion process. Evidence relevant to the Landlord Plaintiffs' claims against Sequoia and Alder for misappropriation of rents, misuse of funds, failure to maintain receipts for expenses, and failure by Sequoia and Alder to account to the Landlord Plaintiffs for the funds entrusted to them is likely irrelevant to the Class Plaintiffs' claims and could clearly prejudice jurors against Sequoia and Alder and cause juror confusion in determining the narrow issue of whether the tenants' rights under the security deposit statute were violated. Evidence supporting the Landlord Plaintiffs' claims regarding Sequoia's and Alder's failure to train and supervise employees, lack of employee supervision, failure or delays in responding to tenant complaints, and allowing employees to reside in units without paying rent all relevant to the Landlord Plaintiffs' claims against Sequoia and Alder could well be prejudicial to the Landlord Plaintiffs in their defense of the Class Action claims.

The scope of discovery is based on the claims made in the Class Action and Landlord Action and Sequoia/Alder cross-complaint. While there may be some duplication of discovery regarding security deposit and tenant charges, the scope of relevant discovery in the Class Action as to the Landlord Plaintiffs is considerably narrower than the discovery in connection with the Landlord Plaintiffs' claims against Sequoia and Alder in the Landlord Action, because the claims by the Landlord Plaintiffs are much broader than the tenant security deposits and charges. On the other hand, the Class Action will involve discovery that is outside the scope of the Landlord Action, including discovery regarding class members for as many as 37 properties in which the Landlord Plaintiffs have no interest and discovery relevant to class certification issues, such as numerosity, common questions, typicality, whether the

Class Plaintiffs are adequate representatives, and whether a class action is superior to resolution of claims on an individual basis. (*See generally* FACC ¶ 78, pp. 26-28.)

Sequoia and Alder raise concerns regarding the designation of documents produced if the cases are not consolidated, specifically a concern that the same documents may be produced with different document identification in the two cases which may create confusion. While that concern may be legitimate, it seems that the concern can be resolved by the parties agreeing on a method of production that identifies the party producing the document and the action or actions in which they document is produced, or the parties agreeing that certain documents produced in response to discovery in one case may considered produced and usable in the other case. The Court has confidence that the parties could reach a pragmatic arrangement to address the mechanics of document identification and production. Consolidation of the actions is not the solution where the majority of the parties to the Class Action are not parties to the Landlord Action and there is only a narrow overlap of issues.

D. Wasting Insurance Policy and Risk of Inconsistent Rulings

Moving parties raise a valid concern regarding the diminishing value of the insurance coverage for the claims at issue in these actions because the policy is a "wasting" policy, such that attorneys' fees and costs incurred in the actions reduce the balance of the policy available to pay any judgment or liability of Sequoia and Alder in the actions. They also raise the possibility of inconsistent rulings regarding whether the tenant security deposit statutes were violated and whether Sequoia and Adler improperly charged tenants for repairs and other expenses if the actions are not consolidated.

As to the diminishing insurance policy value, for the reasons stated above, it is not at all clear to the Court that consolidation will conserve or reduce discovery and other pre-trial litigation expenses. To the contrary, expense may increase with the increased scope of parties and issues in a consolidated action. There are potential mechanisms available to avoid duplication of discovery, such as stipulations and orders that depositions of witnesses and discovery concerning security deposits and tenant charges produced in the Class Action may also be used in the Landlord Action.

As to concerns regarding inconsistent rulings, the Court does not find consolidation of the actions is the solution given the reasons for not consolidating the actions set forth above. For example, determining the cases are "related" cases or that the Landlord Action meets the definition of a "complex" case so that the cases are handled in the same department and can be coordinated by one judge, or staying all or a portion of the Landlord Plaintiffs' action while the Class Plaintiffs' tenant security deposit and tenant charges claims are resolved, or other case management tools available to the Court under Code of Civil Procedure section 128 and the Court's inherent powers, may provide better alternatives to address the risk of inconsistent rulings.

E. Consolidation May Be Revisited

The pleadings in the Landlord Action are not yet settled. Sequoia and Alder have filed a demurrer to the 2AC in that case set to be heard in late February 2026. Further development in the cases may merit the Court revisiting consolidation at a later date. The Court exercises its discretion to **deny** consolidation for the reasons stated based on the current record in the actions, **without prejudice** to renewal of a consolidation motion if subsequent developments warrant.